POLICY NUMBER: **FP-FIN-038**

SHARE-BASED COMPENSATION

ACCOUNTING POLICY

The purpose of this policy is to document Hilton Worldwide Holdings Inc.'s ("Hilton") accounting for share-based compensation given to its employees in accordance with U.S. Generally Accepted Accounting Principles ("GAAP") Accounting Standard Codification ("ASC").

POLICY STATEMENT

Hilton issues its shares to new or existing eligible employees as another form of compensation instead of cash ("Share-based Payment Awards"). The Share-based Payments Awards generally issued consist of restricted stock units ("RSUs"), nonqualified stock options ("Stock Options"), performance-vesting restricted stock units and restricted stock (collectively, "Performance Shares"). These awards can be settled in either shares or cash upon vesting of certain conditions. Additionally, Hilton provides certain employees the right to purchase Hilton's stock at a discounted price ("Share Options") through payroll deductions during specified purchase periods as part of an employee stock purchase program ("Employee Stock Purchase Plan" or "ESPP"). Share-based Payment Awards and Employee Stock Purchase Plan are collectively referred to as "Stock Compensation".

SCOPE

This policy covers two types of Stock Compensation; Share-based Payment Awards and Employee Stock Purchase Plan.

In order to qualify as a Share-based Payment Award, the award must either: (1) be based on the price of Hilton's stock or other equity instruments (for example, various market conditions, see further discussion regarding market conditions below under the **Determining the Fair Value** subsection) or (2) require or may require settlement (i.e. could be settled in cash) by issuing Hilton's equity shares or other equity instruments.[1]

An ESPP is an entity run program in which participating employees can purchase the entity's stock at a discounted price. For an ESPP to qualify under this policy, the plan must be compensatory. A plan that meets all of the following criteria is noncompensatory, and thus would not qualify under this policy: [2]

1) The plan satisfies either of the following conditions:
   a) The terms of the plan are no more favorable than those available to all holders of the same class of stock.
   b) Any purchase discount from the market price does not exceed the per-share amount of the stock issuance cost that would have been incurred to raise a significant amount of capital by a public offering. A purchase discount of 5% or less from the market price shall be considered to comply with this condition without further justification. A purchase discount greater than 5% that cannot be justified under this condition results in a compensation cost for the entire amount of the discount.
2) Substantially all employees that meet limited employment qualifications may participate on an equitable basis.
3) The plan incorporates no option features, other than the following:
   a) Employees are permitted a short period of time – not exceeding 31 days – after the purchase price has been fixed to enroll in the plan.
   b) The purchase price is based solely on the market price of the shares at the date of purchase, and employees are permitted to cancel participation before the purchase date and obtain a refund of amounts previously paid (such as those paid by payroll withholdings).

This policy does not apply to the following share-based compensation transactions:

1) Share-based payment transactions for other than employee services, such as payments made to nonemployees for goods or services, and
2) Employee Stock Ownership Plans ("ESOP") - A stock bonus plan, or combination stock bonus and money purchase pension plan, designed to invest primarily in employer stock.

APPLICABILITY

This policy applies to all Finance, Human Resources, and Legal personnel.

EXCLUSIONS/ EXCEPTIONS

None.

[1] *ASC 718-10-15-3, Compensation – Stock Compensation, Overall, Scope and Scope Exceptions*
[2] *ASC 718-50-25-1, Compensation – Stock Compensation, Employee Stock Purchase Plans, Recognition*

AUTHORIZATIONS

Required Consultations with Accounting Research & Policy

Accounting Research & Policy ("R&P") must be notified and consulted if Hilton's Board of Directors approves a new stock plan with a new type of Share-based Payment Award that Hilton has not issued historically, or if Hilton modifies an existing Share-based Payment Award. Types of Hilton specific transactions which would be considered modifications include:

- Stock splits / Reverse Stock Splits which change the number of shares ultimately to be awarded to an employee
- Acceleration in vesting terms for certain award types based on triggering events (i.e. change of control, mergers, acquisitions)
- Repricing of stock options when the stock price falls
- Allowing for the vesting of awards after an employee terminates (to be evaluated on a case by case basis)

R&P must also be notified and consulted if Hilton's Board of Directors approves a new ESPP or modification or termination of an existing ESPP.

Please contact a member of the R&P team or AccountingResearchPolicy@Hilton.com.

INITIAL RECOGNITION AND MEASUREMENT

a. Overall Objective

The overall objective of accounting for Share-based Payment Awards granted to Hilton's employees is to measure the cost of the employee services received in exchange for the award, based on the **fair value** of the equity instruments issued at the **grant date.**[3] The cost of the award should be recognized **over the period in which the related employee's services are received.**[4] Similarly, the overall objective for accounting for ESPP Share Options is to estimate the **fair value** of the equity instruments that the entity is obligated to issue when grantees have rendered the service and satisfied any other conditions necessary to earn the right to benefit from the instruments, at the **grant date.**[5]

b. Determining the Grant Date

Share-based Payment Awards and ESPP Share Options are measured at their fair value on the grant date. The grant date is the date at which:

1) Hilton and an employee reach a mutual understanding of the key terms and conditions of the award,
2) The award has been approved by the appropriate levels within Hilton (e.g., management approval, Board of Director approval or shareholder approval), and
3) The employee begins to benefit from, or be adversely affected by, subsequent changes in the price of Hilton's equity shares.[6]

Reaching a mutual understanding of the key terms and conditions

A mutual understanding of the key terms and conditions of the award shall be deemed to have been met if:

1) The award is a unilateral grant (i.e., the employee does not have the ability to negotiate the key terms and conditions of the award with Hilton), and
2) The key terms and conditions of the award are expected to be communicated to the employee within a relatively short period of time (i.e., the period in which Hilton could reasonably complete all actions necessary to communicate the awards to the recipients in accordance with Hilton's customary practices) from the date that the award was approved.[7]

The employee begins to benefit from or be adversely affected by a change in Hilton's stock price

In order for the employee to either begin to benefit from or be adversely affected by a change in Hilton's stock price the key terms of the award must be known or determinable.

[3] *ASC 718-10-30-3, Compensation – Stock Compensation, Overall, Initial Measurement*
[4] *ASC 718-10-25-2, Compensation – Stock Compensation, Overall, Recognition*
[5] *ASC 718-10-30-6, Compensation – Stock Compensation, Overall, Initial Measurement*
[6] *ASC 718-10-20, Compensation – Stock Compensation, Overall, Glossary*
[7] *ASC 718-10-25-5, Compensation – Stock Compensation, Overall, Recognition*

Illustration 1 – Key Terms are not known and cannot be determined

Facts:

ABC Company entered into a three-year employment agreement with their new CEO on January 1, 20X1. The agreement states that the CEO will be given 10,000 fully vested stock options on December 31 of each year (30,000 stock options in total over the three years). The exercise price of each option will be equal to the closing market price on the date of issuance (December 31 of each year).

Analysis:

In this case, there are three separate grant dates. The grant date for each tranche is December 31 of each year because that is the date when the exercise price of the stock options granted for that year is known. Until the exercise price is determined, the CEO cannot benefit from or be adversely affected by changes in ABC Company's stock price.

Illustration 2 – Key Terms are known

Facts:

ABC Company entered into a three-year employment agreement with their new CEO on March 1, 20X1. The agreement states that the CEO will be given 10,000 fully vested stock options at the end of the following February each year (30,000 stock options in total over the three years). The exercise price of each option will be equal to the opening market price on March 1, 20X1.

Analysis:

In this case, there is one grant date for all 30,000 stock options. Since the exercise price of all 30,000 stock options is equal to the opening market price on March 1, 20X1, the key terms of the award are known on March 1, 20X1. Since the exercise price of each stock option is known on March 1, 20X1, on March 1, 20X1, the CEO begins to benefit from or be adversely affected by changes in ABC Company's stock price.

Illustration 3 – ESPP

Facts:

ABC Company announced a new benefit to all eligible team members, an ESPP which gives employees the right to make contributions from January 1, 20X1 through June 30, 20X1 (i.e., a purchase period) through payroll deductions in order to purchase ABC Company's stock at a discount at the end of the purchase period. The price at which an employee can purchase the stock is the lower of the stock price at the beginning or the end of the purchase period, less the discount percentage, which is likewise applied to the lower stock price.

Analysis:

In this case, the first day of a purchase period is the date in which the participating employee and ABC Company have a mutual understanding of the terms of the arrangement and the date in which the participating employee begins to benefit from or be adversely affected by subsequent changes in ABC Company's stock price since the participating employee will purchase the stock at a discount from the lower of the beginning or ending stock price of the purchase period.

c. *Determining the Fair Value*

The fair value of a Share-based Payment Award or an ESPP Share Option can vary depending on the various terms and conditions of the award. The fair value of an award is based on Hilton's stock price and other pertinent factors, such as expected volatility, at the grant date.

The following are various factors that should be considered when estimating the fair value of a Share-based Payment Award at the grant date:

- Nontransferability[8] – A restriction that continues in effect after Hilton has issued the equity instruments to its employee, such as the inability to transfer vested equity share options to third parties or the inability to sell vested shares for a period of time.
- Service Conditions[9] – A condition that depends solely on an employee rendering service to Hilton for a specified period of time.
- Performance Conditions[10, 11] – A condition that depends on both an employee rendering service to Hilton for a specified period of time and achieving a specific performance target that is defined solely by reference to Hilton's own operations, such as achieving a specific EBITDA or free cash flow growth.
- Market Conditions[12] – A condition affecting the exercise price, exercisability, or other pertinent factors used in determining the fair value of an award that relates to the achievement of a specified price of Hilton's stock or a specified price of Hilton's stock in relation to similar equity instruments. Example market conditions could include:
    - A specified trading price of the employer's shares is achieved by a specific date,
    - A specified "total shareholder return" is achieved, or
    - The total return on Hilton's stock exceeds that of an average of peer group total returns.

A restriction that stems from the forfeitability of instruments to which employees have not yet earned, such as nonvested awards, do not affect the estimate of the fair value of a Share-based Payment Award at the grant date.[13]

The following are various factors that should be considered when estimating the fair value of ESPP Share Options, which are typically distinct from those of other types of share-based compensation:

- Discount – ESPP programs generally offer the right for employees to purchase the entity's stock at a discounted price.
- Look-back share option – A plan provision that establishes the purchase price as an amount based on the lesser of the equity share's market price at the grant date or its market price at date of purchase. Look-back provisions result in both call options and put options, based on the performance of the share's market price over the purchase period.[14]

Hilton generally estimates the fair value of its various types of Share-based Payment Awards or an ESPP Share Option as follows:

- RSUs – The fair value per unit will be estimated based on the closing stock price of Hilton's common stock (under the ticker symbol "HLT") on the grant date.[15]
- Stock Options – Hilton will estimate the fair value per Stock Option using an appropriate option pricing model, for example, the Black-Scholes-Merton model.[16]
- Performance Shares – The fair value per unit will be estimated based on the closing stock price of Hilton's common stock (under the ticker symbol "HLT") on the grant date.[17]
- ESPP Share Options – The fair value per unit will be estimated based on the sum of the fair value of the call option, the put option and the discount on the share price. The fair value of the call option and the put option per unit will be estimated using an appropriate option pricing model, for example, the Black-Scholes-Merton model.

d. Equity versus Liability Classification

Hilton must evaluate each Share-based Payment Award or ESPP Share Option to determine whether it should be classified as equity or a liability. In general, Hilton classifies all of its Share-based Payment Awards and ESPP Share Options as equity unless the award or instrument meets one of the following criteria:

[8] *ASC 718-10-30-10, Compensation – Stock Compensation, Overall, Initial Measurement*
[9] *ASC 718-10-55-64, Compensation – Stock Compensation, Overall, Implementation Guidance and Illustrations*
[10] *ASC 718-10-55-64, Compensation – Stock Compensation, Overall, Implementation Guidance and Illustrations*
[11] *ASC 718-10-25-20, Compensation – Stock Compensation, Overall, Recognition*
[12] *ASC 718-10-30-14, Compensation – Stock Compensation, Overall, Initial Measurement*
[13] *ASC 718-10-30-11, Compensation – Stock Compensation, Overall, Initial Measurement*
[14] *ASC 718-50-25-2, Compensation – Stock Compensation, Employee Stock Purchase Plans, Recognition*
[15] *ASC 718-10-30-17, Compensation – Stock Compensation, Overall, Initial Measurement*
[16] *ASC 718-10-30-9, Compensation – Stock Compensation, Overall, Initial Measurement*
[17] *ASC 718-10-55-10, Compensation – Stock Compensation, Overall, Implementation Guidance and Illustrations*

- The award is required to be cash-settled or require cash settlement upon the occurrence of a specific event that is considered probable.[18]
- The award can be cash-settled at the employee's option at any time or upon the occurrence of a specific event that is considered probable.[19]
- The award contains equity instruments that would fall within the scope of Hilton's **FP-FIN-022 – Debt Accounting Policy**[20].
- The award is subject to share repurchase features in which the employee is not expected to be subject to the normal risks and rewards of stock ownership.[21] For example, an award gives the employee the right to require Hilton to repurchase the award for cash equal to the fair value of the award.
- The award includes conditions other than service, performance, or market conditions, that affect the fair value, exercisability, or vesting of the award.[22] For example, an award that is also tied to the value of a commodity such as gold.
- Hilton has had a past practice or current intention of cash-settling the specific award.[23]

e. General Recognition

The estimated fair value of a Share-based Payment Award is recognized over the period during which the employee is required to provide service in exchange for the award, requisite service period, with a corresponding credit to equity or a liability depending on the classification of the award.[24, 25] The requisite service period may be explicit or it may be implicitly inferred from the award.[26] Generally, Hilton's Share-based Payment Award's requisite service periods are all explicitly stated. Similarly, for ESPP Share Options, the estimated fair value is recognized over the requisite service period, which will be the respective purchase period.[27]

Determining the Requisite Service Period

The beginning of the requisite service period is referred to as the service inception date which generally aligns with the grant date but can occur prior to the grant date.

Illustration 4 – Service Inception Date Precedes the Grant Date

Facts:

On January 1, 20X1, ABC Company granted an employee that an award of 100 fully vested stock options will be made on January 1, 20X2 with an exercise price equal to the share price on January 1, 20X2. All approvals for this award have been obtained as of January 1, 20X1. The individual is still an employee on January 1, 20X2 and receives the 100 fully vested stock options. There is no requirement for the employee to remain employed in order to keep the stock options.

Analysis:

The requisite service period is from January 1, 20X1 (the service inception date) through January 1, 20X2 (the grant date) as that is the period during which the employee is required to perform services in exchange for the award. The grant date is January 1, 20X2, since the exercise price is not known until that date, and it is at that time that the employee can begin to benefit from or be adversely affected by changes in ABC Company's stock price.

In cases where the service inception date precedes the grant date, Hilton will recognize compensation cost based on the fair value of the award at the end of each reporting date and will be remeasured at each reporting date until the grant date occurs. The cumulative compensation cost recognized for the award will be adjusted to reflect the cumulative effect of measuring compensation cost based on the fair value at the grant date.[28]

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[18] *ASC 718-10-25-11, Compensation – Stock Compensation, Overall, Recognition*
[19] *ASC 718-10-25-11, Compensation – Stock Compensation, Overall, Recognition*
[20] *ASC 718-10-25-7, Compensation – Stock Compensation, Overall, Recognition*
[21] *ASC 718-10-25-9, Compensation – Stock Compensation, Overall, Recognition*
[22] *ASC 718-10-25-13, Compensation – Stock Compensation, Overall, Recognition*
[23] *ASC 718-10-25-15, Compensation – Stock Compensation, Overall, Recognition*
[24] *ASC 718-10-25-2, Compensation – Stock Compensation, Overall, Recognition*
[25] *ASC 718-30-35-2, Compensation – Stock Compensation, Awards Classified as Liabilities, Subsequent Measurement*
[26] *ASC 718-10-35-5, Compensation – Stock Compensation, Overall, Subsequent Measurement*
[27] *ASC 718-50-25-3, Compensation – Stock Compensation, Employee Share Purchase Plans, Recognition*
[28] *ASC 718-10-35-6, Compensation – Stock Compensation, Overall, Subsequent Measurement*

Additionally, in determining the requisite service period, careful consideration should be given to nonsubstantive requisite service provisions within a Share-based Payment Award.[29]

Illustration 5 – Nonsubstantive Service Periods
Facts: ABC Company granted a 60-year old employee 100 RSUs that will fully vest after three years so as long as the employee remains an employee of ABC Company for the full three years. Additionally, ABC Company's stock compensation plan states that any employee who is at least 62-years old is retirement eligible and upon obtaining retirement eligibility, will continue to vest in his or her Share-based Payment Awards even after he or she leaves ABC Company. **Analysis:** The full vesting upon an employee reaching retirement eligibility effectively accelerates vesting as upon the employee turning 62 years old, the employee no longer has to provide services to ABC Company in order to fully vest in the 100 RSUs. Therefore, the requisite service period is not the stated three year period that the award will vest over, but is the shorter period between the grant date and when the employee turns 62-years old and no longer has to provide services to ABC Company in order to fully vested in all of his or her Share-based Payment Awards.

Generally, Hilton's Share-based Payment Awards do not provide for accelerated vesting, but Hilton does have a retirement provision as it relates to its Share-based Payment Awards and, as noted in **Illustration 5** the compensation expense should still be accelerated, as applicable.

Recognition of a Share-based Payment Award with only a Service Condition

Hilton issues Share-based Payment Awards that either: (1) cliff vest, meaning that the employee does not vest in any portion of the award until the end of the vesting period, or (2) have a graded vesting schedule, meaning that a portion of the award will vest each period.

For awards that cliff vest, Hilton will recognize compensation cost related to a Share-based Payment Award on a straight-line basis over the requisite service period.[30]

Illustration 6 – Cliff Vesting Awards
Facts: ABC Company granted an employee 100 RSUs with a grant date fair value of $12,000 that will fully vest at the end of year 3 (i.e., cliff vesting). **Analysis:** ABC Company will recognize compensation cost of $4,000 each year.

Awards that vest on a graded vesting schedule can either be recognized on a straight-line basis over the requisite service period for each separately vesting portion of the award or on a straight-line basis over the requisite service period for the entire award. In either case, the compensation cost recognized by Hilton at any given date, must at least equal the portion of the grant date fair value of the award that is vested at that date.[31] Hilton has made an accounting policy decision to recognize compensation cost on a straight-line basis over the requisite service period for the entire award.

[29] *ASC 718-10-55-87, Compensation – Stock Compensation, Overall, Implementation Guidance and Illustrations*
[30] *ASC 718-10-35-2, Compensation – Stock Compensation, Overall, Subsequent Measurement*
[31] *ASC 718-10-35-8, Compensation – Stock Compensation, Overall, Subsequent Measurement*

Illustration 7 – Graded Vesting Awards

Facts:

ABC Company granted an employee 100 RSUs with a grant date fair value of $10,000 that will vest over a three year period with 20% vesting at the end of year 1, 30% at the end of year 2, and the remaining 50% at the end of year 3.

Analysis:

At the end of each year, ABC Company must recognize compensation cost equal to the portion of the grant-date fair value of the award that is vested at that date. Assuming the employee remains employed throughout the three year vesting period, at the end of each year ABC Company must have recognized at least the following in compensation cost:

Year 1 - $2,000
Year 2 - $5,000
Year 3 - $10,000

For ESPPs, the requisite service period for any compensation cost is the period over which the employee participates in the plan and pays for the shares.[32]

Illustration 8 – Employee Stock Purchase Plan

Facts:

ABC Company announced an Employee Stock Purchase Plan, which provides employees the right to make contributions from January 1, 20X1 through June 30, 20X1 (i.e. purchase period) through payroll deductions in order to purchase ABC Company's stock at a discount at the end of the purchase period. The price at which an employee can purchase the stock is the lower of the stock price at the beginning or the end of the purchase period, less the discount percentage, which is likewise applied to the lower stock price.

Analysis:

ABC Company must recognize the estimated compensation cost ratably over the period of January 1, 20X1 through June 30, 2021.

Recognition of a Share-based Payment Award with a Service and Performance Condition

Compensation cost for a Share-based Payment Award with a performance condition shall be based on the probable outcome of that performance condition (i.e., compensation cost will be recognized if it is probable that the performance condition will be achieved and shall not be recognized if it is not probable that the performance condition will be achieved).[33] If Hilton initially determines that it is not probable that the performance condition will be satisfied and later determines that the performance condition will be satisfied (or vice versa), the effect of the change in estimate should be accounted for in the period of the change by recognizing a cumulative catch-up adjustment to retroactively apply the new estimate.[34]

Illustration 9 – Recognition of a Share-based Payment Award with a Performance Condition

Facts:

ABC Company granted an employee 1,000 RSUs, subject to a performance condition, that will fully vest at the end of three years. At the grant date, ABC Company's stock price closed at a price of $45/share. The number of shares that the employee will eventually vest is dependent upon the growth in ABC Company's EBITDA over the three year period as follows:

[32] *ASC 718-50-25-3, Compensation – Stock Compensation, Employee Stock Purchase Plans, Recognition*
[33] *ASC 718-10-25-20, Compensation – Stock Compensation, Overall, Recognition*
[34] *ASC 718-10-30-28, Compensation – Stock Compensation, Overall, Initial Measurement*

EBITDA Growth	Number of Units Vested
<4%	500
4-8%	1,000
>8%	1,500

Upon the grant date, ABC Company projected that they will achieve a 5% EBITDA growth over the three year period. At the end of year 1, ABC Company updated its projection and now expects that they will achieve a 9% EBITDA growth over the three year period.

Analysis:

At the beginning of year 1, the grant date, ABC Company projects that the employee would receive 1,000 RSUs, based on an expected EBITDA growth of 5%, which equates to $45,000 in fair value (1,000 * $45/share) and therefore, recognized $15,000 in compensation cost ($45,000 ÷ 3 years * 1 year) throughout the year.

At the end of year 1, ABC Company now projects that the employee would receive 1,500 RSUs, based on an expected EBITDA growth of 9%, which equates to $67,500 in fair value (1,500 * $45/share). At the end of year 1, when ABC Company updates its projection, it will recognize an additional compensation cost of $7,500 ($67,500 ÷ 3 years * 1 year - $15,000).

Note: The fair value of each RSU is not remeasured when ABC Company updates its projection.

Recognition of a Share-based Payment Award that is Classified as a Liability

Compensation cost of a Share-based Payment Award that is classified as a liability should be recognized over the requisite service period. The fair value of the award shall be remeasured at each reporting date until the date of settlement. The effect of any change in fair value should be accounted for in the period of the change by recognizing a cumulative catch-up adjustment to retroactively apply the new fair value of the award. Said differently, the percentage of the fair value of the award that is accrued as a liability and recognized as compensation cost in any given period shall equal the percentage of the requisite service that has been rendered through that date.[35]

Illustration 10 – Recognition of a Share-based Payment Award Classified as a Liability

Facts:

ABC Company granted an employee 1,000 RSUs that will fully vest at the end of three years and will be settled in cash. At the grant date, ABC Company's stock price closed at a price of $45/share. At the end of year 1, ABC Company's stock price closed at a price of $30/share.

Analysis:

At the beginning of year 1, the grant date, ABC Company stock price closed at $45/share so the 1,000 RSUs have a fair value of $45,000 (1,000 * $45/share) and therefore, recognized $15,000 in compensation cost ($45,000 ÷ 3 years * 1 year) throughout the year.

At the end of year 1, since ABC Company's stock price closed at $30/share the 1,000 RSUs now have a fair value of $30,000 (1,000 * $30/share). ABC Company will recognize a decrease to compensation cost of $5,000 ($30,000 ÷ 3 years * 1 year - $15,000).

Note: Different from an equity classified Share-based Payment Award with a performance condition, the fair value of each RSU is remeasured at each reporting date.

Forfeitures

Hilton will account for forfeitures when they occur and will reverse the compensation cost recognized for an award in the period in which the award is forfeited.[36]

[35] *ASC 718-30-35-3, Compensation – Stock Compensation, Awards Classified as Liabilities, Subsequent Measurement*
[36] *ASC 718-10-35-3, Compensation – Stock Compensation, Overall, Subsequent Measurement*

f. ESPP – Purchase of Shares at the End of a Purchase Period

At the end of a purchase period, the participating employees will purchase Hilton stock based on the terms of the arrangement. In most cases, Hilton will use treasury stock to facilitate the employee purchases of shares. Hilton does not account for any of its treasury stock as constructively retired, and instead accounts for treasury stock as a separate deduction of its total equity, Hilton has made a policy election to use the FIFO method to relieve its treasury stock as it is sold at the end of a purchase period and the amount of gain or loss that is to be recorded.

Any gain on the sale of treasury stock (i.e., any excess of the amount received from an ESPP participant over the FIFO cost basis) shall be reported in additional paid-in capital ("APIC") while any losses shall be reported in APIC to the extent of any previous gains that were recognized. If no such gains were previously recognized or remain, Hilton will recognize any losses through retained earnings.[37]

SUBSEQUENT MEASUREMENT

a. Modifications (consultation required)

<u>Share-based Payment Awards</u>

Hilton may subsequently decide to modify the terms of a previously granted Share-based Payment Award. A change in the terms of a Share-based Payment Award is considered a modification if any of the following criteria are met:

- The fair value of the modified award is not the same as the fair value of the original award immediately before the original award is modified.
- The vesting conditions of the modified award are not the same as the vesting conditions of the original award immediately before the original award is modified.
- The classification of the modified award as an equity instrument or a liability instrument is not the same as the classification of the original award immediately before the original award is modified.[38]

For example, all of the following would be considered modifications of a Share-based Payment Award:

- Hilton lowered the strike price on a stock option from $60 to $50.
- Hilton accelerated an award's vesting period from three years to two years.
- Hilton determined that it would pay out an award in cash instead of common stock.

Modification of a Share-based Payment Award that is Classified as a Liability

A modification of a Share-based Payment Award that is classified as a liability is accounted for as the exchange of the original award for a new award. However, because liability classified awards are remeasured at their fair value at each reporting date, there is no additional guidance needed for the accounting of a modification of a liability classified award.[39] Refer to the subsection **Recognition of a Share-based Payment Award that is Classified as a Liability** above, for the accounting of a liability classified award.

Modification of a Share-based Payment Award that is Classified as Equity

A modification of a Share-based Payment Award that is classified as equity is accounted for as the exchange of the original award for a new award. In substance, Hilton is repurchasing the original award at its current fair value and is issuing a new Share-based Payment Award.[40]

Any **increase** in the fair value of the new award compared to the fair value of the original award immediately before the original award is modified is considered incremental compensation cost that should be recognized over the remaining requisite service period. If the requisite service period has already been satisfied, the incremental compensation cost should be recognized in the period of the modification. The total recognized compensation cost for any modified equity award shall at least equal the fair value of the award at the original grant date unless at the date of the modification the performance or service conditions of the original award are not expected to be satisfied.[41]

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[37] *ASC 505-30-30-10, Equity, Treasury Stock, Initial Measurement*
[38] *ASC 718-20-35-2A, Compensation – Stock Compensation, Awards Classified as Equity, Subsequent Measurement*
[39] *ASC 718-30-35-5, Compensation – Stock Compensation, Awards Classified as Liabilities, Subsequent Measurement*
[40] *ASC 718-20-35-3, Compensation – Stock Compensation, Awards Classified as Equity, Subsequent Measurement*
[41] *ASC 718-20-35-3, Compensation – Stock Compensation, Awards Classified as Equity, Subsequent Measurement*

Conversely, Hilton will not recognize a reduction in compensation cost for any **decrease** in the fair value of the new award compared to the fair value of the original award immediately before the original award is modified.

The modification of an award that only effects the vesting conditions is generally classified as one of the following types of modifications:

Modification Type	Description	Incremental Compensation Cost
Type I – Probable-to-Probable Modification	When a vesting condition that is probable of achievement is modified and the new vesting condition also is probable of achievement[42]	Hilton may incur incremental compensation cost under this type of modification. See discussion above on the fair value of the new award exceeding the fair value of the original award.
Type II – Probable-to-Improbable	When a vesting condition that is probable of achievement is modified and the new vesting condition is no longer probable of achievement[43]	Hilton would not incur incremental compensation cost under this type of modification.
Type III – Improbable-to-Probable	When a vesting condition that is not probable of achievement is modified and the new vesting condition is now probable of achievement[44]	Hilton may incur incremental compensation cost under this type of modification. See discussion above on the fair value of the new award exceeding the fair value of the original award.
Type IV – Improbable-to-Improbable	When a vesting condition that is not probable of achievement is modified and the new vesting condition is still not probable of achievement[45]	Hilton would not incur incremental compensation cost under this type of modification.

Illustration 11 – Modification of a Share-based Payment Award that is Classified as Equity

Facts:

ABC Company granted an employee 1,000 RSUs, subject to a performance condition, that will fully vest at the end of three years. At the grant date, ABC Company's stock price closed at a price of $45/share. The number of shares that the employee will eventually vest is dependent upon the growth in ABC Company's EBITDA over the three year period as follows:

EBITDA Growth	Number of Units Vested
<4%	500
4-8%	1,000
>8%	1,500

Upon the grant date, ABC Company projected that they will achieve a 3% EBITDA growth over the three year period. At the end of year 1, ABC Company modified the EBITDA growth table that determines the number of shares that will eventually vest to the following:

EBITDA Growth	Number of Units Vested
<2%	500
2-6%	1,000
>6%	1,500

[42] *ASC 718-20-55-111 through 112, Compensation – Stock Compensation, Awards Classified as Equity, Implementation Guidance and Illustrations*
[43] *ASC 718-20-55-113 through 115, Compensation – Stock Compensation, Awards Classified as Equity, Implementation Guidance and Illustrations*
[44] *ASC 718-20-55-116 through 117, Compensation – Stock Compensation, Awards Classified as Equity, Implementation Guidance and Illustrations*
[45] *ASC 718-20-55-118 through 119, Compensation – Stock Compensation, Awards Classified as Equity, Implementation Guidance and Illustrations*

Immediately prior to the modification, Hilton updated its projection and now expects that they will achieve a 7% EBITDA growth over the three year period. ABC Company's closing stock price was $50/share at the time of the modification.

Analysis:

Upon the modification of the award, ABC Company calculated the incremental compensation cost of the modification to be $25,000 [(1,500 * $50/share) - (1,000 * $50/share)]. In addition to the compensation costs that ABC Company was already going to recognize associated with these award, ABC Company will recognize the incremental compensation cost of $25,000, as additional compensation cost, over the remaining requisite service period of 2 years (i.e., $12,500/year).

ESPP

Changes in total employee withholdings during a purchase period that occur solely as a result of salary increases, commissions, or bonus payments are not plan modifications if they do not represent changes to the terms of the award that was offered by Hilton and initially agreed to by the employee at grant (or measurement date). Under those circumstances, the only incremental compensation cost is that which results from the additional shares that may be purchased with the additional amounts withheld (using the fair value calculated at the grant date).[46]

Changes in total employee withholdings during a purchase period which occur because of an option for employees to decrease the amount withheld from their paycheck each period do not change Hilton's compensation expense that must be recognized, unless the employee services that were valued at the grant date will no longer be provided to the employer due to termination or the employee otherwise becomes ineligible to participate in the ESPP.[47] If a participating employee leaves Hilton during a purchase period or otherwise becomes ineligible to participate, Hilton shall reverse any additional compensation expense recognized in association with that employee's participation in the ESPP in the period in which they leave or become ineligible.[48]

PRESENTATION

a. Earnings Per Share ("EPS")

Share-based Payment Awards granted to Hilton's employees should be considered as potential common shares in computing diluted EPS.[49] ESPP Share Options should be accounted for under the treasury stock method, taking into consideration all of the funds to be withheld during the purchase period. Refer to the **FP-FIN-043 - Equity Accounting Policy** for further discussion on EPS.

b. Share-based Compensation and ESPP Expense Classification

Hilton presents the compensation expense related to Share-based Payment Awards and ESPP Share Options to its employees in the same line or lines as cash compensation paid to its employees.[50]

Note – Hilton issues Share-based Payment Awards and may offer an ESPP to its employees at managed properties, in which case, as a manager, Hilton will also seek reimbursement from the hotel owner for any cost incurred, therefore these costs are recorded in the same line item as other reimbursed costs from managed properties. Hilton also issues Share-based Payment Awards and may offer an ESPP to employees at its owned and leased properties, therefore any costs recorded would be within the appropriate owned and leased hotels expense line item.

c. Cash Flow Presentation

Excess tax benefits shall be classified in the same manner as other cash flows related to income taxes in operating activities within Hilton's Consolidated Statement of Cash Flows.[51]

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[46] *ASC 718-50-35-1, Compensation – Stock Compensation, Employee Share Purchase Plans, Subsequent Measurement*
[47] *ASC 718-50-35-2, Compensation – Stock Compensation, Employee Share Purchase Plans, Subsequent Measurement*
[48] *ASC 718-10-35-3(b), Compensation – Stock Compensation, Overall, Subsequent Measurement*
[49] *ASC 718-10-45-1, Compensation – Stock Compensation, Overall, Other Presentation Matters*
[50] *ASC 718-10-S99-1, Compensation – Stock Compensation, Overall, SEC Materials*
[51] *ASC 230-10-45-17, Statement of Cash Flows, Overall, Other Presentation Matters*

Cash paid to taxing authorities when shares are withheld to satisfy the employer's statutory income tax withholding obligation shall be classified in financing activities within Hilton's Consolidated Statement of Cash Flows.[52]

Cash received from the exercise of Stock Options and the purchase of shares from the ESPP shall be classified in financing activities within Hilton's Consolidated Statement of Cash Flows.

FINANCIAL STATEMENT LINE ITEMS AFFECTED

Note: The following section addresses the financial statement line items affected by the accounting for routine transactions covered by this policy (R&P consultation may be required per the authorization section above). For all transactions that require a consultation with R&P, please defer to the guidance provided by R&P regarding the appropriate financial statement line items affected by the transaction.

Transaction	**Affected**		
	Balance Sheet Line Item	**Income Statement Line Item**	**Cash Flow Statement Section**
Initial grant of a Share-based Payment Award or offering of an ESPP	- N/A	- N/A	- N/A
Recognition of compensation cost related to an equity classified Share-based Payment Award	- Additional paid-in capital (credit)	- General and administrative expense (debit) - Other expenses from managed and franchised properties (debit) - Owned and leased hotels expense (debit)	- Operating Activities (as a reconciling item)
Vesting of an equity classified Share-based Payment Award	- Common stock (credit) - Additional paid-in capital (debit)	- N/A	- N/A
Recognition of compensation cost related to a liability classified Share-based Payment Award	- Other liabilities (credit) or; - Accounts payable, accrued expenses and other (credit)	- General and administrative expense (debit) - Other expenses from managed and franchised properties (debit) - Owned and leased hotels expense (debit)	- Operating Activities (as a reconciling item)
Exercise of Stock Option	- Cash (debit) - Additional paid-in capital (credit) - Common stock (credit)	- N/A	- Financing Activities
ESPP employee payroll withholdings (incremental to normal payroll entries)	- Cash (debit) - Accounts payable, accrued expenses, and other (credit)	- N/A	- Operating Activities

[52] *ASC 230-10-45-15, Statement of Cash Flows, Overall, Other Presentation Matters*

Recognition of compensation cost related to an ESPP Share Option	- Additional paid-in capital (credit)	- General and administrative expense (debit) - Other expenses from managed and franchised properties (debit) - Owned and leased hotels expense (debit)	- Operating Activities (as a reconciling item)
Purchase of ESPP shares at the end of the purchase period	- Accounts payable, accrued expenses, and other (debit) - Retained Earnings (debit) - Treasury Stock (credit) - Additional paid-in capital (debit or credit)	- N/A	- Financing Activities

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES
FP-FIN-022 – Debt Accounting Policy
FP-FIN-043 – Equity Accounting Policy

TERM/ACRONYM	DEFINITION
Employee	An individual over whom the grantor of a share-based compensation award exercises or has the right to exercise sufficient control to establish an employer-employee relationship based on common law as illustrated in case law and currently under U.S. Internal Revenue Service Revenue Ruling 87-41. A reporting entity based in a foreign jurisdiction would determine whether an employee-employer relationship exists based on the pertinent laws of that jurisdiction. Accordingly, a grantee meets the definition of an employee if the grantor consistently represents that individual to be an employee under common law. The definition of an employee for payroll tax purposes under the U.S. Internal Revenue Code includes common law employees. Accordingly, a grantor that classifies a grantee potentially subject to U.S. payroll taxes as an employee also must represent that individual as an employee for payroll tax purposes (unless the grantee is a leased employee as described below). A grantee does not meet the definition of an employee solely because the grantor represents that individual as an employee for some, but not all, purposes. For example, a requirement or decision to classify a grantee as an employee for U.S. payroll tax purposes does not, by itself, indicate that the grantee is an employee because the grantee also must be an employee of the grantor under common law.
Employee Stock Ownership Plan	An employee stock ownership plan is an employee benefit plan that is described by the Employee Retirement Income Security Act of 1974 and the Internal Revenue Code of 1986 as a stock bonus plan, or combination stock bonus and money purchase pension plan, designed to invest primarily in employer stock. Also called an employee share ownership plan.
Fair Value	The amount at which an asset (or liability) could be bought (or incurred) or sold (or settled) in a current transaction between willing parties, that is, other than in a forced or liquidation sale.
Grant Date	The date at which an employer and an employee reach a mutual understanding of the key terms and conditions of a share-based payment award. The employer becomes contingently obligated on the grant date to issue equity instruments or transfer assets to an employee who renders the requisite service. Awards made under an arrangement that is subject to shareholder approval are not deemed to be granted until that approval is obtained unless approval is essentially a formality (or perfunctory), for example, if management and the members of the board of directors control enough votes to approve the arrangement. Similarly, individual awards that are subject to approval by the board of directors, management, or both are not deemed to be granted until all such approvals are obtained.

	The grant date for an award of equity instruments is the date that an employee begins to benefit from, or be adversely affected by, subsequent changes in the price of the employer's equity shares.
Market Condition	A condition affecting the exercise price, exercisability, or other pertinent factors used in determining the fair value of an award under a share-based payment arrangement that relates to the achievement of either of the following: b. A specified price of the issuer's shares or a specified amount of intrinsic value indexed solely to the issuer's shares. c. A specified price of the issuer's shares in terms of a similar (or index of similar) equity security (securities). The term similar as used in this definition refers to an equity security of another entity that has the same type of residual rights. For example, common stock of one entity generally would be similar to the common stock of another entity for this purpose.
Measurement Date	The date at which the equity share price and other pertinent factors, such as expected volatility, that enter into measurement of the total recognized amount of compensation cost for an award of share-based payment are fixed.
Modification	A change in any of the terms or conditions of a share-based payment award.
Nonvested Shares	Shares that an entity has not yet issued because the agreed-upon consideration, such as employee services and any other conditions necessary to earn the right to benefit from the instruments, has not yet been satisfied. Nonvested shares cannot be sold. The restriction on sale of nonvested shares is due to the forfeitability of the shares if specified events occur (or do not occur).
Performance Condition	A condition affecting the vesting, exercisability, exercise price, or other pertinent factors used in determining the fair value of an award that relates to both of the following: a. An employee's rendering service for a specified (either explicitly or implicitly) period of time b. Achieving a specified performance target that is defined solely by reference to the employer's own operations (or activities). Attaining a specified growth rate in return on assets, obtaining regulatory approval to market a specific product, selling shares in an initial public offering or other financing event, and a change in control are examples of performance conditions. A performance target also may be defined by reference to the same performance measure of another entity or group of entities. For example, attaining a growth rate in earnings per share ("EPS") that exceeds the average growth rate in EPS of other entities in the same industry is a performance condition. A performance target might pertain either to the performance of the entity as a whole or to some part of the entity, such as a division or an individual employee.
Probable	The future event or events are likely to occur.
Requisite Service Period	The period or periods during which an employee is required to provide service in exchange for an award under a share-based payment arrangement. The service that an employee is required to render during that period is referred to as the requisite service. The requisite service period for an award that has only a service condition is presumed to be the vesting period, unless there is clear evidence to the contrary. If an award requires future service for vesting, the entity cannot define a prior period as the requisite service period. Requisite service periods may be explicit, implicit, or derived, depending on the terms of the share-based payment award.
Service Condition	A condition affecting the vesting, exercisability, exercise price, or other pertinent factors used in determining the fair value of an award that depends solely on an employee rendering service to the employer for the requisite service period. A condition that results in the acceleration of vesting in the event of an employee's death, disability, or termination without cause is a service condition.
Service Inception Date	The date at which the requisite service period begins. The service inception date usually is the grant date, but the service inception date may differ from the grant date.
Share Option	A contract that gives the holder the right, but not the obligation, either to purchase (to call) or to sell (to put) a certain number of shares at a predetermined price for a specified period of time. Most share

	options granted to employees under share-based compensation arrangements are call options, but some may be put options.

ROLES AND RESPONSIBILITIES

ENTITY/PERSONNEL	RESPONSIBILITIES
For questions refer to AccountingResearchPolicy@Hilton.com	The email represents the R&P contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the R&P team or the listed e-mail.